

China: Fiscal revenue and expenditure growth both improved in June, while land sales revenue contracted further

Bottom line:

Year-on-year growth in on-budget fiscal revenue improved in June amid higher PPI inflation and mixed activity growth, as faster tax revenue growth more than offset slower non-tax revenue growth. Fiscal expenditure growth also rebounded, but it remained below fiscal revenue growth. Property-related government revenue weakened further in June, mainly due to a wider year-on-year contraction in off-budget land sales revenue. Combining on-budget and off-budget financing channels, our proprietary “augmented fiscal deficit” (AFD) metric continued to narrow in June on both a 3-month and 12-month moving average basis. We estimate the negative fiscal impulse in Q2 contributed more than 40% of the sequential decline in real GDP growth from Q1 to Q2. After weaker-than-expected Q2 GDP, we expect policymakers to strengthen easing rhetoric and pledge to accelerate implementation of planned demand-side measures at the upcoming July Politburo meeting.

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Key numbers:

Fiscal revenue growth: +8.7% yoy in June (+2.6% mom sa non-annualized, estimated by GS), vs. +6.6% yoy in May (-0.5% mom sa non-annualized).

Fiscal expenditure growth: +4.0% yoy in June (+0.9% mom sa non-annualized), vs. -1.6% yoy in May (-0.5% mom sa non-annualized).

Land sales revenue growth: -42.1% yoy in June (-9.2% mom sa non-annualized), vs. -35.8% yoy in May (-2.5% mom sa non-annualized).

Property-related tax revenue growth: -12.3% yoy in June, vs. -2.6% yoy in May.

Effective fiscal deficit ratio (after GS seasonal adjustment): -3.9% of GDP 3mma and -4.7% 12mma as of June, vs. -4.0% of GDP 3mma and -4.7% 12mma as of May.

Augmented fiscal deficit (AFD) ratio (after GS seasonal adjustment): -7.0% of GDP 3mma and -10.2% 12mma as of June, vs. -8.4% of GDP 3mma and -10.6% 12mma as of May.¹

Main points:

1. On-budget fiscal revenue growth rose to +8.7% yoy in June from +6.6% yoy in May

¹ Our measure of augmented fiscal deficit is a sum of effective on-budget fiscal deficit and off-budget fiscal deficit. We estimate the off-budget spending by major channels that finance quasi-fiscal activities, which include new local government special bonds (LGSB), land sales revenue, local government financing vehicle (LGFV) bonds, policy banks support, shadow banking loans, etc.

(Exhibit 1) amid higher PPI inflation and mixed activity growth, as faster tax revenue growth (to +10.8% yoy in June from +6.8% yoy in May) more than offset slower non-tax revenue growth (to +2.9% yoy from +5.6% yoy). The May-to-June improvement in year-on-year tax revenue growth was led by corporate income tax and individual income tax, while VAT and consumption tax revenue growth slowed. Year-on-year growth in stamp duty on stock trading remained strong at +145.3% in June (vs. +145.9% in May), though it only accounted for 1.2% of total tax revenue in 2025.

2. Year-on-year growth in on-budget fiscal expenditure rebounded to +4.0% in June from -1.6% in May, as faster spending growth in agriculture & water conservancy, social security & employment, and urban & rural community affairs more than offset slower spending growth in science & technology, although it remained below fiscal revenue growth. Based on our estimates, growth in infrastructure-related on-budget fiscal spending² rose to -1.8% yoy in June from -12.0% yoy in May, which, together with still-subdued infrastructure investment growth (to -9.4% yoy in June from -11.2% yoy in May), points to persistent weakness in some off-budget financing channels.

3. Property-related government revenue weakened further in June — year-on-year contraction in off-budget land sales revenue widened to -42.1% in June from -35.8% in May, and on-budget property-related tax revenue growth fell to -12.3% yoy from -2.6% yoy (Exhibit 2).³ Combining these two items, we estimate that government revenue directly from the property sector contracted 31.6% yoy in June (vs. -23.9% yoy in May). Despite recent green shoots in home transactions in some large cities, most property activity indicators such as land sales, new home starts and property investment were weaker than market expectations in H1. We now expect land sales revenue to decline by around 20% yoy this year, given the prolonged property downturn (especially for construction activity) and still-stretched funding conditions for many developers.

4. Taking into consideration the general public budget and government-managed fund budget, we estimate year-on-year growth in total government revenue slowed to +1.8% in June from +2.4% in May, and the year-on-year contraction in total government expenditure widened to -12.0% from -3.9%. Further incorporating more off-budget financing channels, our proprietary “augmented fiscal deficit” (AFD) metric continued to narrow in June, on both a 3-month and 12-month moving average basis (Exhibit 3). Although our proprietary measure of the fiscal “spend-through” ratio (which is based on 12-month moving average) and the year-on-year change in the outstanding amount of fiscal deposits pointed to slightly faster government spending of previously raised funds in June (Exhibit 4), the meaningful tightening of our AFD metric suggests fiscal policy became a growth drag in Q2, on the back of falling land sales revenue and shrinking policy bank support. We estimate the negative fiscal impulse contributed more than 40% of the sequential decline in real GDP growth from Q1 to Q2 (Exhibit 5).

5. In the first half of 2026, on-budget fiscal revenue grew 4.7% yoy (vs. -1.7% yoy in 2025), exceeding the MOF’s full-year budget projection of a 2.2% yoy gain thanks to a notable improvement in tax revenue growth amid higher global energy prices and domestic PPI inflation, while anecdotal evidence suggests that some local governments,

² We define infrastructure-related fiscal spending as fiscal spending on energy saving & environment protection, agriculture & water conservancy, transportation, and urban & rural community affairs.

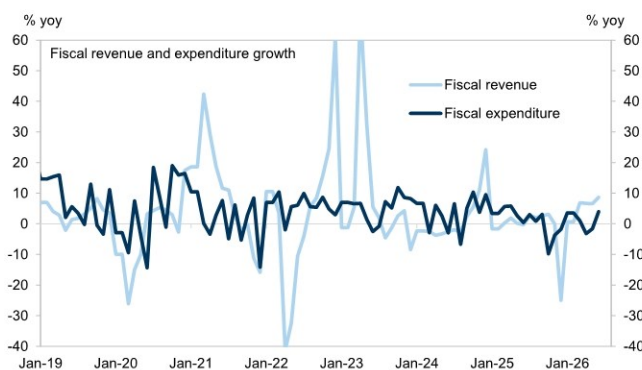
³ Property-related taxes include property tax, deed tax, land appreciation tax, urban and town land use tax and farmland occupation tax.

under financial strain, have collected tax revenues more aggressively. On-budget fiscal expenditure only rose by 1.5% yoy in H1 2026 (vs. +1.0% yoy in 2025), well below the budget projection for full-year 2026 of a 4.4% yoy increase. Off the budget, government-managed fund revenue declined by 21.6% yoy in H1 2026 (vs. -7.0% yoy in 2025), mainly weighed on by the 31.5% yoy contraction in land sales revenue (-14.7% yoy in 2025) and implying the budget projection of a 0.6% yoy gain this year will likely be missed. Accordingly, government-managed fund expenditure also declined by 16.4% yoy in H1 2026 (vs. +11.3% yoy in 2025), with year-on-year growth slowed meaningfully in Q2 vs. Q1.

6. Onboarding the negative fiscal impulse in Q2, we recently lowered our 2026 full-year AFD forecast by 0.5pp of GDP to 11.5% (vs. 11.0% in 2025). After weaker-than-expected Q2 GDP, we expect policymakers to strengthen easing rhetoric and pledge to accelerate implementation of already-planned demand-side measures in the upcoming July Politburo meeting, while maintaining their strategic focus on high-tech sectors and key supply chains. However, resilient exports and a still-achievable full-year growth target suggest limited urgency for broad-based, sizable near-term stimulus. We expect central and local governments to accelerate bond issuance and proceeds spending in coming months, speed up implementation of the RMB800bn new policy-based financial instrument, and leave the door open for additional easing later this year if needed. Key risks are central-level complacency and local-level implementation constraints during political turnover ahead of next year's 21st Party Congress, in our view.

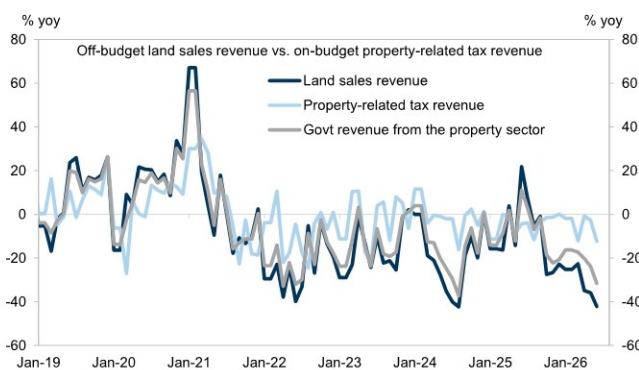
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Exhibit 1: Fiscal revenue growth continued to outperform spending growth in June

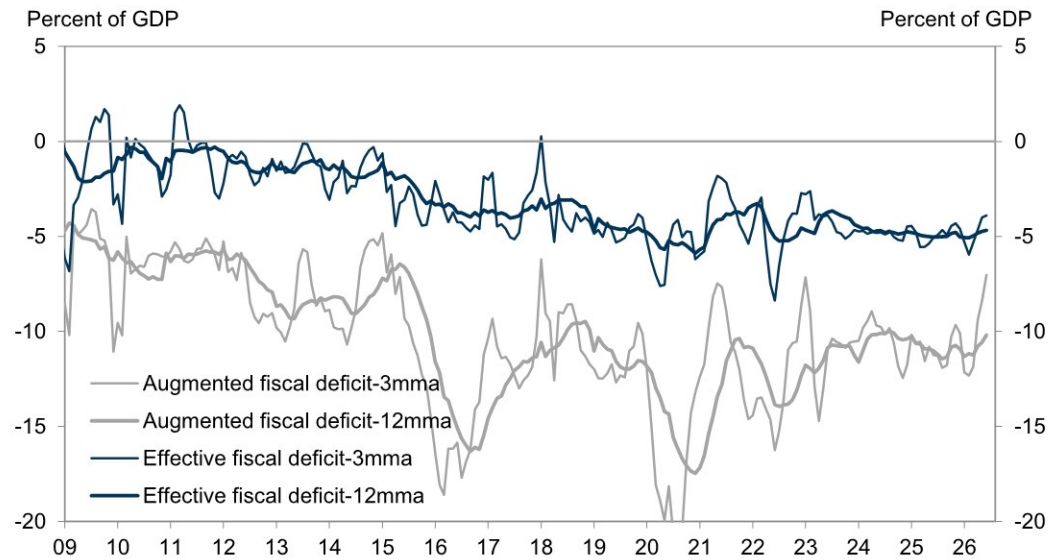


Source: Wind, Data compiled by Goldman Sachs Global Investment Research

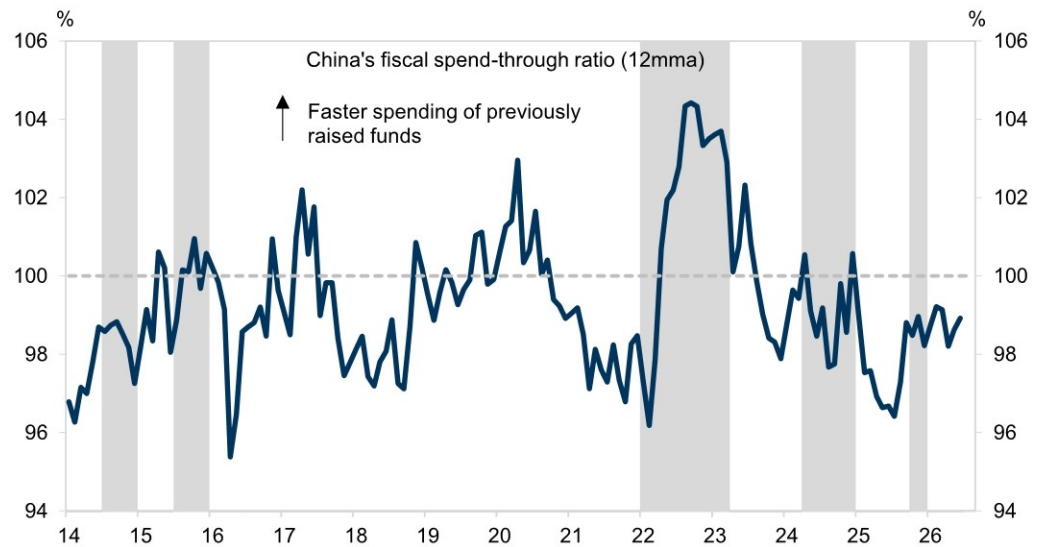
Exhibit 2: Property-related government revenue weakened further in June



Source: Wind, Data compiled by Goldman Sachs Global Investment Research

Exhibit 3: Our augmented fiscal deficit (AFD) metric continued to narrow in June

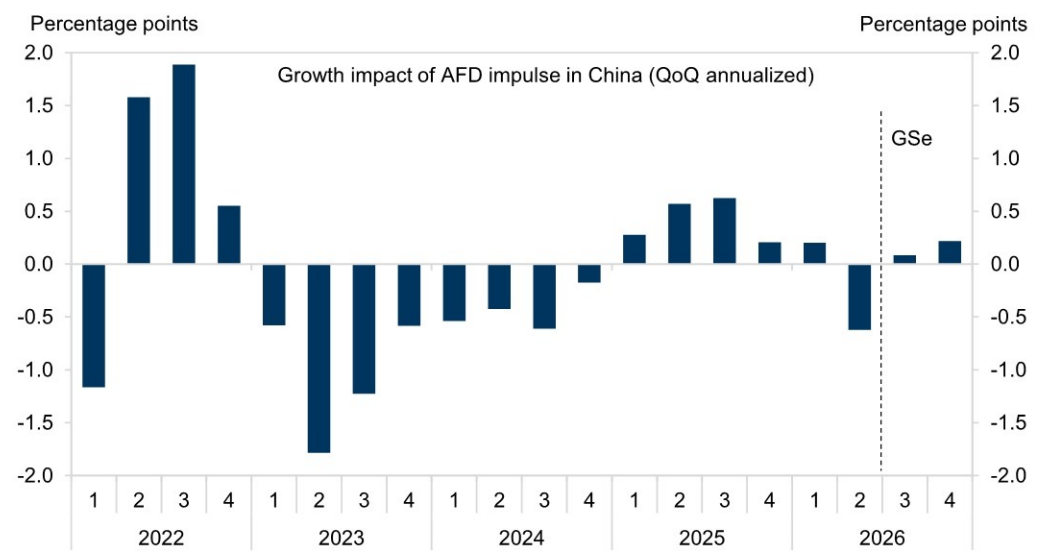
Source: Wind, CEIC, Goldman Sachs Global Investment Research

Exhibit 4: China's fiscal "spend-through" ratio rose in June on a 12mma basis

Shaded areas refer to periods when China's year-to-date real GDP growth was equal to or below the full-year growth target. Note that the Chinese government did not set a national growth target for 2020.

Source: MOF, Wind, CEIC, Goldman Sachs Global Investment Research

Exhibit 5: Fiscal impulse turned negative in Q2, while we expect it to turn positive in H2



Source: Goldman Sachs Global Investment Research

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